

CHAPTER 3: THE COFFEE-CAN PORTFOLIO

“HAVE YOU EVER HEARD OF THE COFFEE CAN portfolio?”

I was having lunch with Preston Athey, the outstanding investor behind T. Rowe Price’s Small-Cap Value Fund, when he asked me this question.

I had heard of it, which I think surprised him a little because I was only 12 years old when the idea came out, and it is not a mainstream idea. I knew all about it, though, because the coffee-can portfolio is one of those classic ideas that aficionados of finance don’t forget.

I want to tell you about the coffee-can portfolio. It is an excellent crutch to 100-baggerdom. It will help you “hold on.”

It all began with Robert Kirby, then a portfolio manager at Capital Group, one of the world’s largest investment-management firms. He first wrote about the coffee-can idea in the fall of 1984 in the *Journal of Portfolio Management*. “The coffee can portfolio concept harkens back to the Old West, when people put their valuable possessions in a coffee can and kept it under the mattress,” Kirby wrote. “The success of the program depended entirely on the wisdom and foresight used to select the objects to be placed in the coffee can to begin with.”

The idea is simple: you find the best stocks you can and let them sit for 10 years. You incur practically no costs with such a portfolio. And it is certainly easy to manage. The biggest benefit, though, is a bit more subtle and meaningful. It works because it keeps your worst instincts from hurting you. In his paper, Kirby told the story about how his idea came about.

“The coffee can idea first occurred to me in the 1950s,” Kirby